



Life Assurance Sector Report

FOR THE HALF YEAR ENDED 30 JUNE 2024

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Table of Contents

Abbreviations	5
Section A	6
1. Executive Summary	7
Section B	10
2 The Insurance And Pensions Commission Overview	11
3 Regulatory Developments	12
Section C	13
Economic Overview	14
Section D	16
Performance Of Life Assurance Companies	16
4. Life Assurance Sector Architecture	17
5. Performance In Terms Of Insurance Revenue	18
6. Insurance Revenue By Product	19
7. Not Taken Up Policies	19
8. Foreign Currency Business	21
9. Reassurance	22
10. Market Share	22
11. Asset Quality	24
12. Prescribed Assets	25
13. Separation Of Assets Between Shareholders And Policyholders	26
14. Liquidity And Earnings	26
15. Capitalisation	28
Section E	29
Performance Of Life Reassurance Companies	30
16. Nature Of The Reassurance Business	30
17. Performance In Terms Of Reassurance Revenue	30
18. Us\$ Business Revenue For Reassurers	30
19. Asset Quality	30
20. Prescribed Assets	31
21. Earnings	32
22. Market Share	33
23. Capitalisation	34
Section F	35
24. Complaints Handling And Penalties For Regulatory Breaches	36
25. Regulatory Breaches	38
26. Conclusion	39
Section H: Appendices	40

List of Appendices

Appendix A.1. Statement of Comprehensive Income for Life Assurers	41
Appendix A.2. Statement of Financial Position For Life Assurers	42
Appendix A.3. Statement of Comprehensive Income for Life Reassurers	44
Appendix A.4. Statement of Financial Position for Life Reassurers	45

List of Tables

Table 2: Summary of Key Financial Indicators for Life Reassurers	9
Table 3: Circulars issued in the half year of 2024	12
Table 4: Insurance Revenue Per Company	17
Table 5: Distribution of Insurance Revenue by Product Line Per Company	19
Table 6: Not Taken Up Policies	20
Table 7: Lapse Ratios	21
Table 8: Expense Ratios	27
Table 9: Prescribed Assets Ratios for Reassurance Companies	32
Table 10: Capitalisation of Reassurance Companies	34

Table of Figures

Figure 1: Distribution of Insurance Revenue by Product Line	19
Figure 2: Market Share by US\$ Insurance Revenue	22
Figure 3: Market Share in Terms of Insurance Revenue	23
Figure 4: Market Share by Assets	24
Figure 5: Assets Breakdown by Class	25
Figure 6: Composition of Income for Life Companies	28
Figure 7: Figure 9 Life Reassurers' Total Assets	31
Figure 8: Market Share by Reassurance Revenue	33
Figure 9: Market Share Distribution in Terms of Total Assets	34
Figure 10: Distribution of Life Complaints by Entity	36
Figure 11: Nature of the Complaints Received	36
Figure 12: Complaints Status	37

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- ii. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.
- iii. This report relates to life assurance and reinsurance business written by life assurers and reinsurers in the first half of 2024 and the figures are based on unaudited accounts submitted by regulated entities.
- iv. The statistics in this report were based on the International Financial Reporting Standard (IFRS) 17 Insurance Contracts, which became effective in January 2023.
- v. Please note, that all monetary figures are in ZWG unless stated otherwise.
- vi. All ZWG amounts are expressed in nominal terms, except where specifically stated to be in real terms.
- vii. ZWG revenue and assets were converted to US\$ using the average exchange rate for the period under review of 13.4836 and the closing rate of 13.7031 respectively.
- viii. This report is based on 12 direct life assurers, and four (4) reinsurers against three (3) reinsurers reported in the previous quarter.
- ix. Except for the foreign business section, the amounts in this report are presented in US\$ equivalents, therefore they are not pure US\$.

Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act [Chapter 24:07]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme
PAA	Premium Allocation Approach

A portrait of a smiling Black man in a dark blue suit, light blue shirt, and dark blue tie. He has his arms crossed and is looking towards the camera. The background is blurred, showing an outdoor setting with other people.

Section A | Executive Summary

1. Executive Summary

- 1.1 As at 30 June 2024, the life assurance sector comprised 12 direct life assurance companies, four (4) life reinsurance companies, and 1,493 life assurance agents.
- 1.2 Direct life assurers reported insurance revenue of ZWG 850.72 million, which converts to US\$63.09 million using the average official exchange rate.
- 1.3 During the review period, recurring business accounted for 92% and new business for 8%, indicating a strong persistency ratio for the sector.
- 1.4 Funeral assurance and group life assurance continue to be the primary revenue drivers for the life sector, with a combined 86.04% share of the total revenue.
- 1.5 Two (2) life assurance companies and three (3) reinsurers did not comply with the proposed new Minimum Capital Requirement (MCR) of US\$2 million, which will take effect once the enabling regulations are gazetted. The regulator is encouraging these entities to come up with compliance roadmaps to ensure adherence upon the gazetting of the regulations.
- 1.6 Direct life assurers reported an increase in total assets from a US\$ equivalent of US\$364.30 million as at 31 March 2024, to a US\$ equivalent of US\$505.16 million (ZWG6,922) as at 30 June 2024.
- 1.7 Life reinsurers reported assets totalling ZWG125.38 million, equivalent to US\$9.15 million, reflecting a 114% increase from a US\$ equivalent of US\$4.28 million as at 31 March 2024. This substantial increase in assets for the reinsurance sector was due to a major increase of 246% in Emeritus Re assets as a result of property revaluation gains.
- 1.8 In addition, ZEP Re, which began reporting this quarter following the implementation of IFRS 17 in January 2023, caused an increase of 8% of total reinsurance assets.

- 1.9 Excluding ZEP Re, there was a 98% increase from US\$4.28 million as of 31 March 2024, to US\$8.45 million for the half-year ended 30 June 2024 which is justified by property revaluation gains and exchange rate distortions.
- 1.10 The average compliance ratios for prescribed asset requirements were 9.30% for life assurers and 14.31% for reassurers. Only three (3) direct life assurers and two (2) reassurers met the minimum statutory requirement of 15%.
- 1.11 The life assurance sector reported a combined ratio of 65% and a nominal profit before tax of ZWG2.29 billion for the review period. The nominal profit before tax was primarily driven by fair value adjustments from unquoted equities. In US\$ terms, the profit before tax for the sector was equivalent to US\$169.86 million, based on the average official exchange rate.
- 1.12 Life reassurers reported a nominal profit before tax of ZWG71.20 billion for the review period, equivalent to US\$5.28 million.
- 1.13 Tables 1 and 2 below show the key financial indicators for the life assurance and reinsurance companies. There are no comparative figures since the Commission began reporting under the IFRS 17 standard in Q3 2023.

Table 1: Summary of Key Financial Indicators for Life Assurers

Key Performance Indicator	June-24 (ZWG million/%)
Insurance Revenue	850.72
Key Performance Indicator	June-24 (ZWG million/%)
Insurance service expenses	551.74
Insurance service result	280.37
Net investment result	2536.70
Profit (Loss) before tax	2290.28
Ratio Analysis	
Expense Ratio	17%
Commission Ratio	8%
Claims Ratio	40%
Combined Ratio	65%
Reassurance Ratio	2%
Lapse Ratio	6.59%
Total Assets	6,922
Total Liabilities	3,033
Shareholders' Equity	3,889
Capital to Liability Ratio	128.23%
Prescribed Asset Ratio	9.30%

Table 2: Summary of Key Financial Indicators for Life Reassurers

Key Performance Indicator	JUNE-24 (Million/ %)
Insurance Revenue	48.11
Insurance service expenses	(24.25)
Insurance service result	22.12
Net investment result	54.45
Profit (Loss) before tax	71.20
Ratio Analysis	
Expense Ratio	31%
Claims Ratio	19%
Combined Ratio	50%
	JUNE-24 (Million/ %)
Total Assets	125.38
Total Liabilities	17.44
Shareholders' Equity	94.16
Capital to Liability Ratio	18.52%
Prescribed Asset Ratio	14.31%



Section B

About the Commission

2. The Insurance and Pensions Commission Overview

- 2.1. The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2. This report outlines industry developments and IPEC's supervisory activities in the life assurance sector for the half-year ended 30 June 2024, consistent with its statutory mandate.

Terms of Reference

- 2.3. The activities of the Commission are guided by the following Acts and their respective regulations:
 - Insurance and Pensions Commission Act [*Chapter 24:21*];
 - Pensions and Provident Funds Act [*Chapter 24:32*];
 - Insurance Act [*Chapter 24:07*];
 - Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
 - Finance Act [*Chapter 23:04*];
 - Public Entities and Corporate Governance Act [*Chapter 10:31*];
 - Public Finance Management Act [*Chapter 22:19*];
 - Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]; and
 - Administration of Estates Act [*Chapter 6:01*].

3. Regulatory Developments

3.1. Circulars

3.1.1. During the first half of 2024, the Commission issued Circulars as shown below:

Table 3: Circulars issued in the half year of 2024

Circular	Date of Issue	Purpose
Circular 1 of 2024	25/01/2024	Sectorial Assessment to Inform Zimbabwe's Third Money Laundering National Risk Assessment.
Circular 2 of 2024	30/01/2024	Actuarial Society of Zimbabwe Guidance Note for S.I. 162 Of 2023.
Circular 3 of 2024	05/02/2024	Settlement of Claims.
Circular 5 of 2024	06/06/2024	2023 Annual Reporting.
Circular 7 of 2024	25/04/2024	Data Call on All New Products Approved from January 2020 to Date.
Circular 8 of 2024	10/05/2024	Guideline on 2024 Currency Changes.
Circular 10 of 2024	17/06/2024	2024 Ipec Aml/Cft/Cpf Industry Training Calendar
Circular 11 of 2024	27/06/2024	Amendments To Circular 8 Of 2024 - Guideline on the 2024 Currency Changes.
Circular 12 of 2024	02/07/2024	Guidelines to Funds on Conduct of Annual General Meetings.
Circular 13 of 2024	10/07/2024	Financial Intelligence Unit Directive on High-Risk Jurisdictions and Countries Under Increased Monitoring of Terrorist Financing and Proliferation of Weapons of Mass Destruction.



Section C | Economic Overview

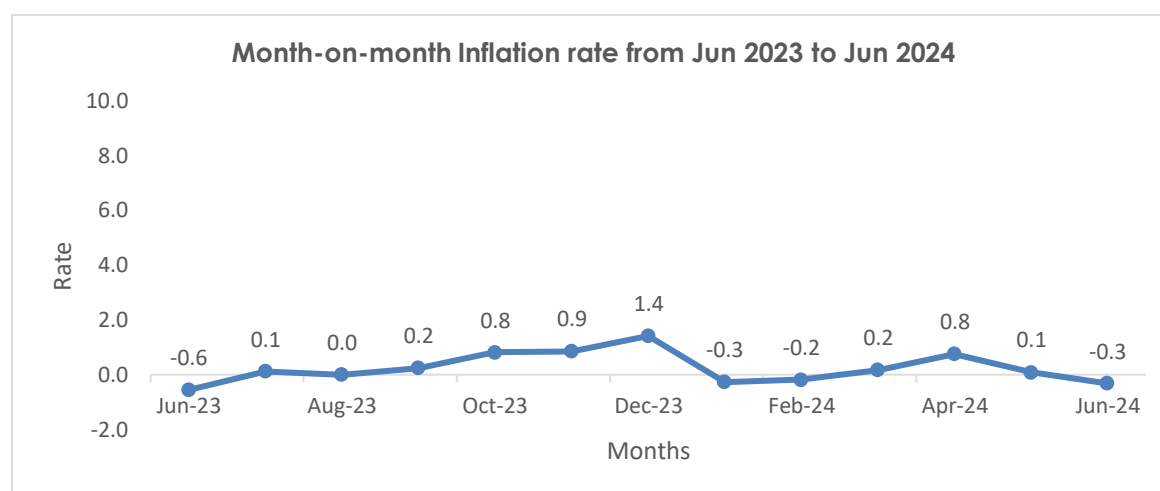
4. Economic Overview

4.1. Economic Outlook

- 4.1.1. The IMF projects that the Zimbabwean economy is expected to grow by 2% in 2024, down from 5.3% of 2023. The slower GDP growth is mainly on account of below average agricultural output due to the El Niño weather phenomenon.
- 4.1.2. Mining output is also expected to remain subdued because of lower international mineral prices.
- 4.1.3. Growth is anticipated to bounce back in 2025, driven by a resurgence in agriculture and continued investment in manufacturing capital projects.

4.2. Inflation Developments

- 4.2.1. Inflation remained subdued during the first half of 2024 as reflected by both annual and monthly inflation. US\$ annual inflation for June 2024 was 3.8% whilst month on month inflation was in the negative territory at -0.3%, down from the positive rates reported for April and May 2024.
- 4.2.2. The graph below shows month on month inflation developments from June 2023 to June 2024: -



4.3. Exchange Rate Developments

- 4.3.1. Whilst the first quarter of 2024 was characterised by high exchange rate depreciation, the second quarter witnessed exchange rate stability following the introduction of the Zimbabwe Gold Currency (ZWG) in April.
- 4.3.2. From 8 April to end of June, the US\$/ZWG exchange rate remained stable, as it slightly moved from US\$1/ZWG13,5616 to US\$1/ZWG13,7013.
- 4.3.3. The developments were a relief to policyholders as their benefits denominated in local currency maintained value during that period.

4.4. Stock Market Performance:

4.4.1. Zimbabwe Stock Exchange

The ZSE's Q2 2024 performance presents a mixed outlook for the insurance sector. While market volatility and changing foreign investor sentiment pose challenges, the overall growth in market capitalization and potential long-term opportunities warrant careful consideration. Insurance companies should adopt prudent risk management strategies and maintain a long-term investment perspective to navigate this dynamic market environment successfully.

Source: ZSE

4.4.2. Victoria Falls Exchange

The VFEX performance during Q2 2024 presented a mixed picture, with both opportunities and challenges for the insurance sector. While foreign investor interest signals positive prospects, the volatile market conditions emphasize the need for prudent risk management and a long-term investment approach.

Source: VFEX

Section D

PERFORMANCE OF LIFE ASSURANCE COMPANIES

5. Life Assurance Sector Architecture

- 5.1. During the period under review, there were 12 registered life assurers. However, one of them, Evolution Life Company, registered a microinsurance entity and planned to transfer all its microinsurance business to this new entity, transfer its conventional business to another assurer, and surrender its life insurance license.
- 5.2. Life assurers had 1,493 agents, which include both corporate and individual. This was an increase from 1,305 reported in June 2023.

6. Performance in Terms of Insurance Revenue

- 6.1. During the period under review, direct life assurers reported insurance revenue of ZWG 850.72 million, equivalent to US\$63.09 million based on the average exchange rate for the period.
- 6.2. Funeral assurance and group life assurance business remain the two major drivers of insurance revenue for the life sector, which constituted a combined share of 86.04% of the total revenue.
- 6.3. The table below shows the insurance revenue per life company.

Table 4: Insurance Revenue Per Company

Name of Company	Jun-24 (ZWG million)	Market Share
Nyaradzo Life	348.06	40.91%
Doves Life	129.72	15.25%
First Mutual Life	76.95	9.05%
Zimnat Life	69.68	8.19%
Old Mutual Life	65.49	7.70%
Fidelity Life	49.51	5.82%
Econet Life	47.5	5.58%
CBZ Life	38.38	4.51%
ZB Life	20.23	2.38%
Nhaka Life	2.88	0.34%
Evolution Life	1.56	0.18%
Heritage Life	0.76	0.09%
Total	850.72	100.00%

- 6.4. As indicated in the table above, Nyaradzo Life Assurance Company dominates the life sector, holding 41% of the market share, primarily due to its funeral assurance business. The top five companies collectively generated ZW\$689.90 million in revenue, equivalent to US\$51.17 million based on the average interbank rate for the period. This accounted for 81% of the total revenue reported for the quarter.

7. Insurance Revenue by Product

- 7.1. Funeral assurance is the primary product in the life sector, contributing 69.36% of total revenue. This is followed by group life assurance, which accounts for 16.67% of total revenue.
- 7.2. Other life products, including endowment, term assurance, and whole life, accounted for only 7.48% of the business.
- 7.3. Restoring confidence remains a central focus for the Commission, which is collaborating with the industry to revive interest in other long-term products.
- 7.4. The industry must innovate to create products that meet market needs.
- 7.5. Figure 1 below shows the distribution of life assurance revenue by product line, and the table immediately below indicates distribution of insurance revenue by product line per company.

Figure 1: Distribution of Insurance Revenue by Product Line

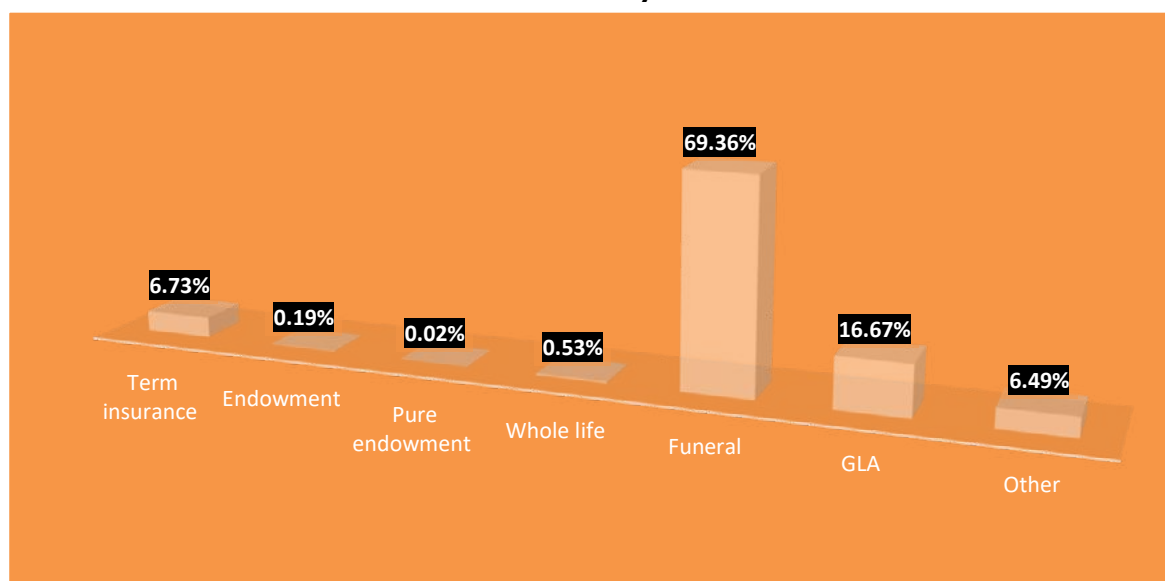


Table 5: Distribution of Insurance Revenue by Product Line Per Company

	Term insurance	Endowment	Pure endowment	Whole life	Funeral	GLA	Other	Total (ZWG million)
CBZ Life	18.00	-	-	-	13.16	7.23	-	38.38
Doves Life	-	-	-	-	129.72	-	-	129.72
Econet Life	-	-	-	-	45.59	1.62	0.29	47.50
Evolution Life	-	-	-	-	1.56	0.00	-	1.56
Fidelity Life	0.03	0.12	0.16	0.02	0.69	14.44	34.03	49.51
First Mutual Life	32.42	-	-	-	9.45	23.90	11.17	76.95
Heritage Life	-	-	-	-	0.76	-	-	0.76
Nhaka Life	1.32	-	-	-	1.27	0.20	0.09	2.88
Nyaradzo Life	-	-	-	-	348.06	-	-	348.06
Old Mutual Life	-	-	-	-	4.43	52.17	8.88	65.49
ZB Life	0.05	0.18	-	0.07	16.31	2.91	0.72	20.23
Zimnat Life	5.46	1.34	-	4.43	19.07	39.38	-	69.68
Total	57.28	1.64	0.16	4.52	590.07	141.85	55.19	850.72

7.6. Nyaradzo Life and Doves Life primarily focus on funeral assurance, whereas Old Mutual and First Mutual concentrate on into group life assurance.

8. Not Taken Up Policies

8.1. For the half-year ended 30 June 2024, the life assurance sector reported 83,177 Not Taken Up (NTU) policies, with expected insurance revenue of ZWG485.34 million. See *table below*

Table 6: Not Taken Up Policies

Name of Company	Number of Policies	Insurance Revenue - ZWG Million
Doves Life	8,736	412.55
Econet Life	21,223	47.50
Fidelity Life	49,743	23.54
Old Mutual Life	30	0.23
ZB Life	1,696	0.41
Zimnat Life	1,749	1.10
Total	83,177	485.34

8.2. Fidelity Life had the highest number of NTUs followed by Econet Life, which is a sign that appetite for life products is there, but affordability could be an issue. At the same time, insurers are encouraged to closely monitor how agents are presenting their products to prospective clients to avoid mis-selling. This calls for consumer education at individual company and industry-wide levels.

Lapsable Policies

8.3. At the start of the second quarter of 2024, the life assurance sector had 1,605,496 lapsable policies. During this quarter, 105,792 policies lapsed, resulting in a lapse ratio of 6.59%, down from 11% in the same period in 2023.

8.4. Policy lapses are primarily driven by affordability issues and changes in policyholders' circumstances. Insurers are reminded to ensure necessary communication with policyholders before their policies lapse.

8.5. Table 7 below shows the lapse ratio per entity: -

Table 7: Lapse Ratios

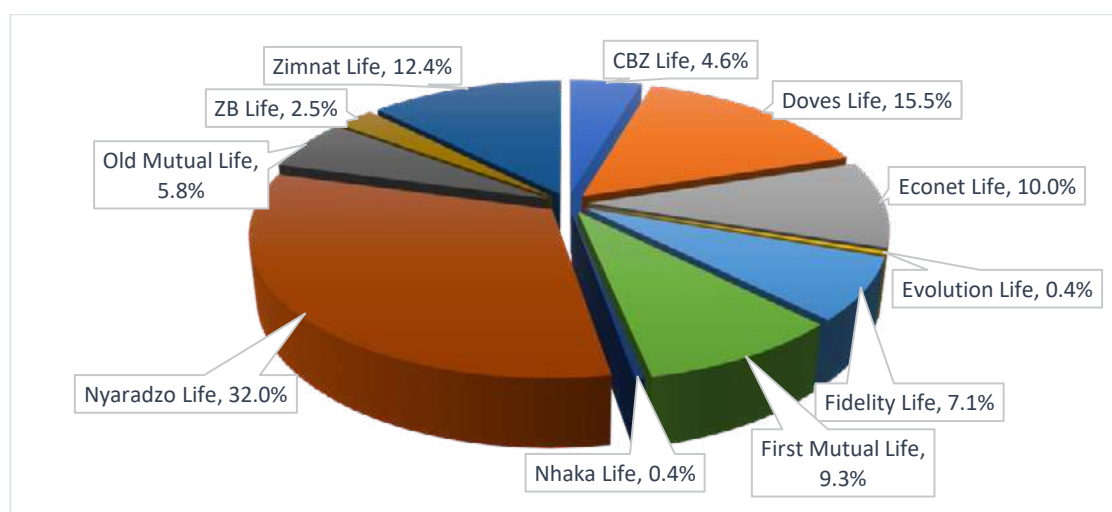
Name of Company	Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (Group Business)	Lapse Ratio
Old Mutual Life	63,796	8,152	-	12.78%
Nhaka Life	1,059	107	-	10.10%
Econet Life	646,638	56,949	1,552	9.05%
Doves Life	177,599	5,092	6,195	6.36%
Zimnat Life	58,754	2,869	-	4.88%
Nyaradzo Life	552,641	16,703	5,840	4.08%
CBZ Life	49,159	1,855	-	3.77%
ZB Life	3,809	52	-	1.37%
Fidelity Life	49,507	66	-	0.13%
First Mutual Life	-	360	-	0.00%
Heritage Life	2,534	-	-	0.00%
Total/ Average	1,605,496	92,205	13,587	6.59%

8.6. During the period under review, Old Mutual and Nhaka Life had lapse ratios exceeding 10%. It is recommended that an experience investigation be conducted to understand the reasons behind these lapses and to implement interventions to reduce the lapse rates.

9. Foreign Currency Business

9.1. The life assurance sector received foreign currency revenue amounting to US\$42.94 million for the half year ended 30 June 2024, which accounts for 68% of total revenue for the sector.

9.2. The breakdown of the foreign currency business written by the life assurance sector per company is shown in figure 2 below: -

Figure 2: Market Share by US\$ Insurance Revenue

9.3. Nyaradzo Life has the biggest share of forex business at 32% by virtue of having the largest market share within the life sector.

10. Reassurance

10.1. Out of the ZWG 850.72 million, which is equivalent to US\$63.09 million insurance revenue collected by life assurers, only ZWG19.74 million (US\$ 1.46 million) was ceded to reinsurers translating to a reinsurance ratio of 2%.

10.2. This is mainly because of the dominance of funeral assurance business, which offers funeral services as a benefit and is traditionally not reinsured. Also, the annually renewable policies being issued by sector players are usually not reinsured. Reinsurance remains a key risk management measure for the direct life assurers as it helps to manage capital positions as reinsurers will assume part of the risks underwritten.

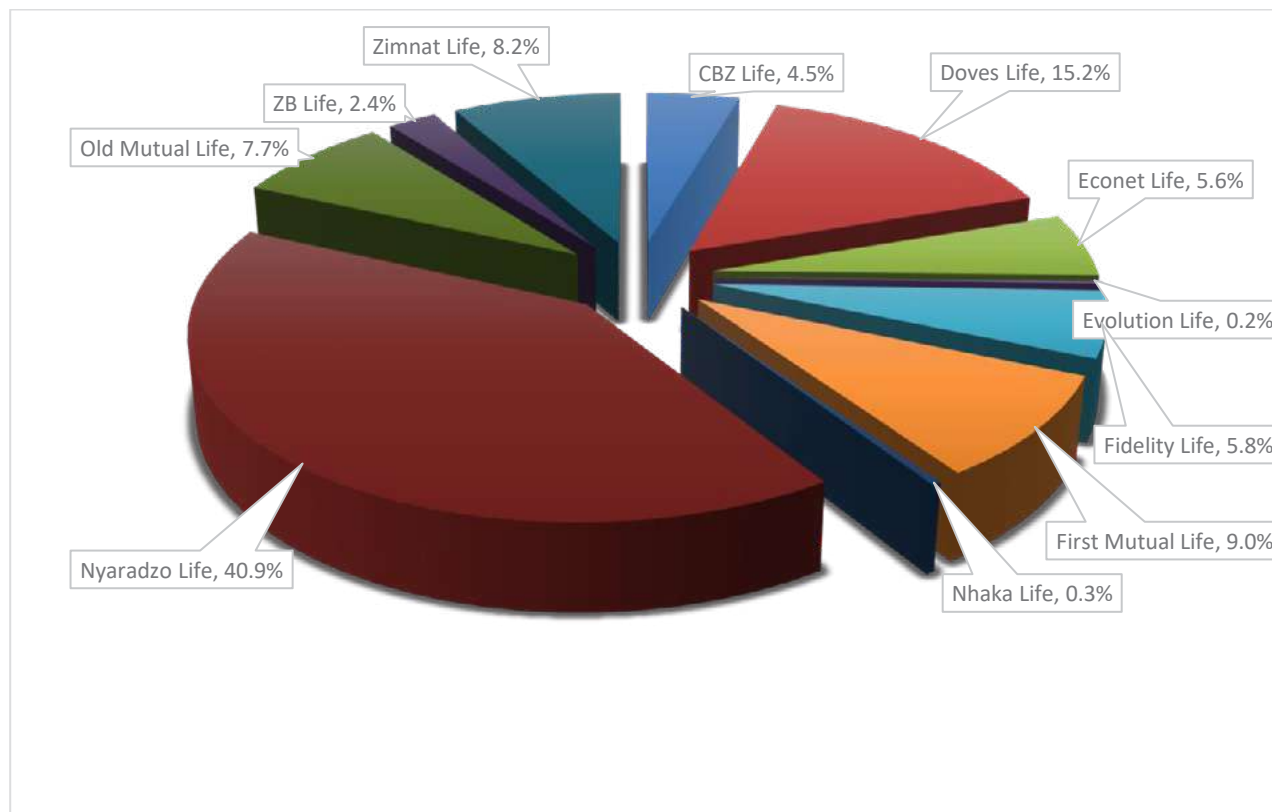
10.3. It is important for life companies to assess their risk retention capabilities and reinsure as necessary.

11. Market Share

11.1. In terms of revenue, Nyaradzo Life and Doves Life are leading the life sector with a total market share of 56.2%, with the rest of the players sharing the remaining 43.8% of the market.

11.2. Figure 4 below shows the market share for the sector in terms of revenue.

Figure 3: Market Share in Terms of Insurance Revenue

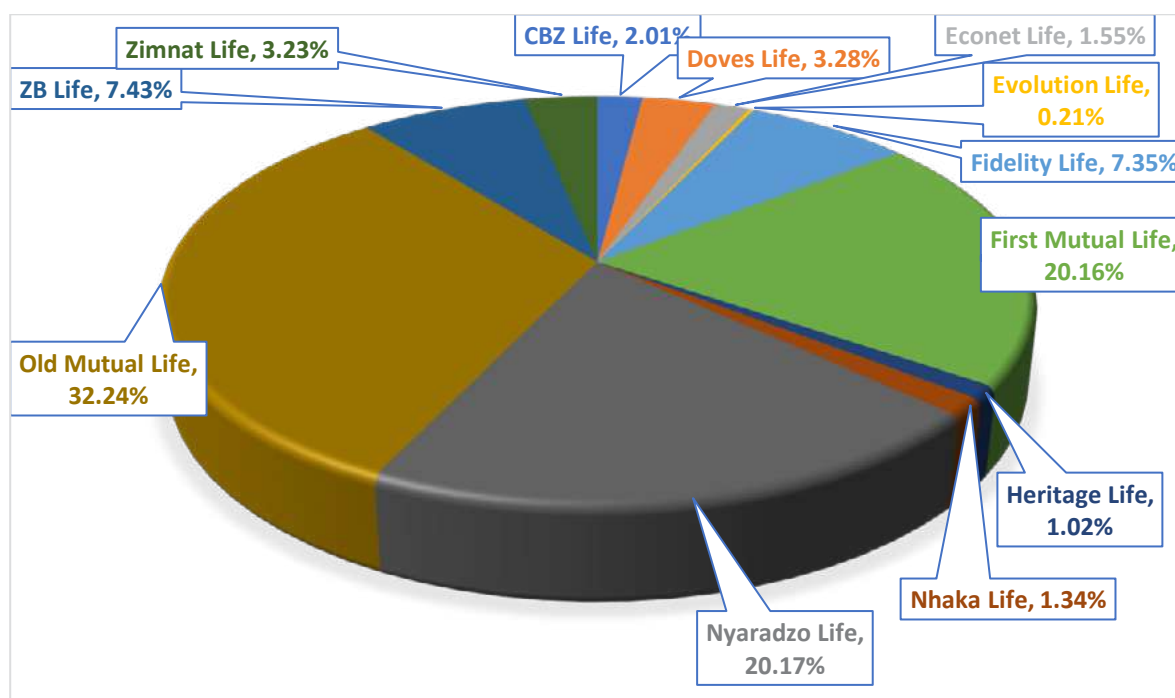


11.3. To support business growth, the industry should focus on creating products that align with the current business environment and evolving consumer preferences, among other factors. The need to diversify product concentration risk cannot be over-emphasized.

11.4. In terms of assets, three (3) entities dominate the market, with 72.58% of the life assurance sector, while the remaining entities held the remainder of 27.42%. Old Mutual has the biggest share of the market in terms of assets.

11.5. The figure below shows the distribution of market share in terms of assets by entity.

Figure 4: Market Share by Assets



11.6. Life assurance companies are encouraged to maintain assets with appropriate duration and liquidity profiles that align with their liabilities, ensuring they can meet obligations as they arise.

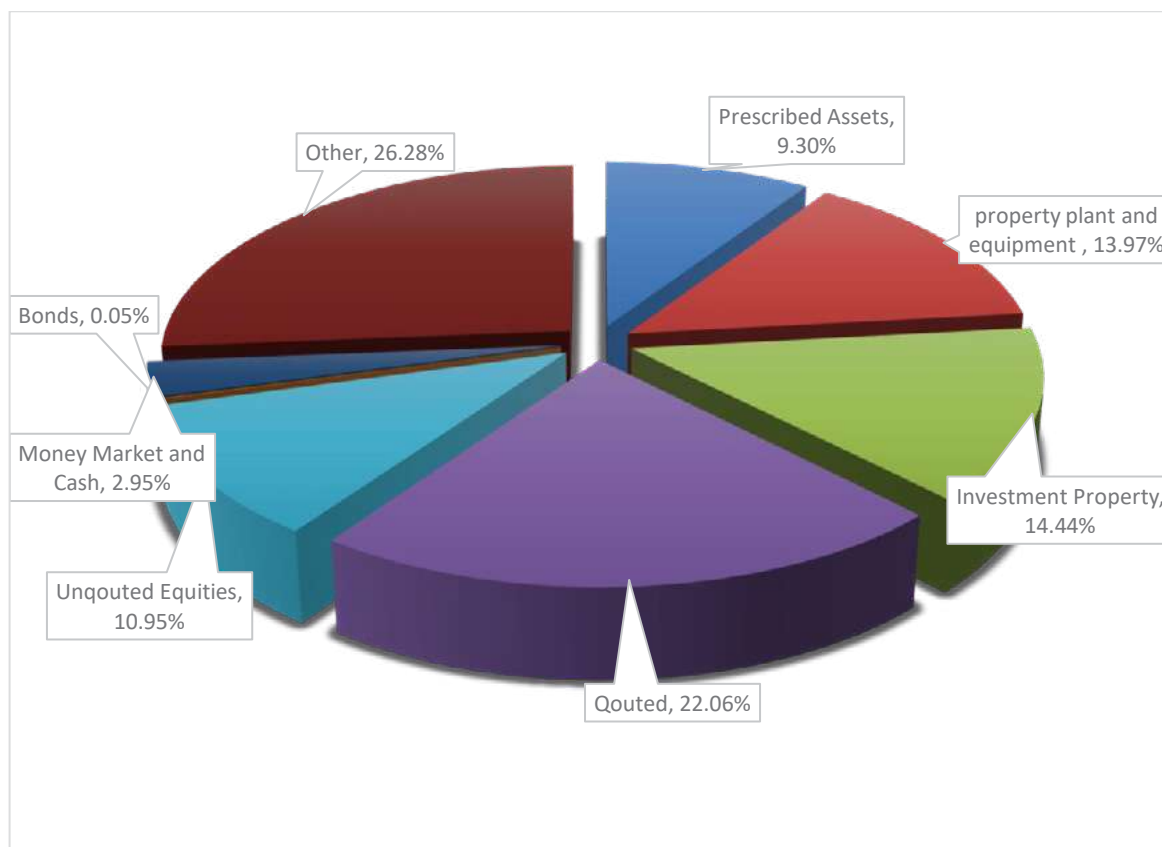
12. Asset Quality

12.1. The life assurance sector reported total assets amounting to ZWG6.92 billion, which is approximately US\$505.16 million translating to a growth rate of 39% from US\$364.30 million reported as at 31 March 2024. The growth rate of the sector, at 39% may have been amplified by exchange rate distortions.

12.2. Assets for life companies are mainly invested in equities and investment property, which accounts for over 60% of the total assets.

12.3. Figure 5 below shows the distribution of assets for the life assurance sector by class.

Figure 5: Assets Breakdown by Class



12.4. It is essential to exercise prudence by ensuring that assets exceed liabilities. The Commission is currently developing a new investment guideline for life companies, considering the changes that have occurred since the last guideline was issued in 2013.

13. Prescribed Assets

13.1. The total investments in prescribed assets (PA) by the life assurance sector amounted to ZWG643.94 million, which converts to US\$ equivalent of US\$46.99 million at the official rate. This is a sector average compliance level of 9.3% for the period under review.

13.2. Three life companies, CBZ Life, Econet Life and Nhaka Life were compliant with the minimum prescribed asset ratio of 15% of adjusted assets.

13.3. The Commission expects sector players to comply with the required PA ratio on an ongoing basis and non-compliant entities are required to submit their compliance plans.

13.4. Prescribed assets have over the years supported national economic development through projects of developmental nature and several instruments have been accorded prescribed asset status through Treasury. The life assurance sector is, therefore, encouraged to invest in bankable projects of national interest that align with vision 2030 and create value for policyholders.

14. Separation of Assets Between Shareholders and Policyholders

14.1. The Commission is continuously monitoring the separation of assets between shareholders (SH) and policyholders (PH) as informed by the approved compliance roadmaps.

14.2. Each player is expected to adhere to the asset separation requirements and approved plans to avoid prejudice of policyholders by unjustifiable transfer of funds from PH to SH.

14.3. Starting from Q1 2025, all life companies will be required to disclose the share of assets between policyholders and shareholders as part of quarterly returns.

15. Liquidity and Earnings

15.1. The sector reported insurance service results of ZW\$280.37 million, equivalent to US\$20.80 million, which indicated an underwriting profit from core insurance activities.

15.2. The current ratio for life assurers was 3:1 indicating that the sector had adequate liquid assets to meet short-term contractual obligations and other current liabilities.

15.3. The combined ratio for the life assurers was 65%, which is favourable for the assurers and indicate the profitability of the sector. In terms of the breakdown of the combined ratio, the claims ratio was 40%, commission ratio (8%) and the expense ratio (17%).

15.4. The profit-before-tax reported for the period under review was ZWG2.29 million mainly driven by fair value gains on quoted equities. The Profit-after-tax for the sector translates to US\$ 169.84 million when converted using average official interbank rate for the quarter. Investment Income was the major driver of profit for the life companies accounting for 78% of the total revenue.

15.5. The table below summarises the expenses, claims and combined ratio for the life sector.

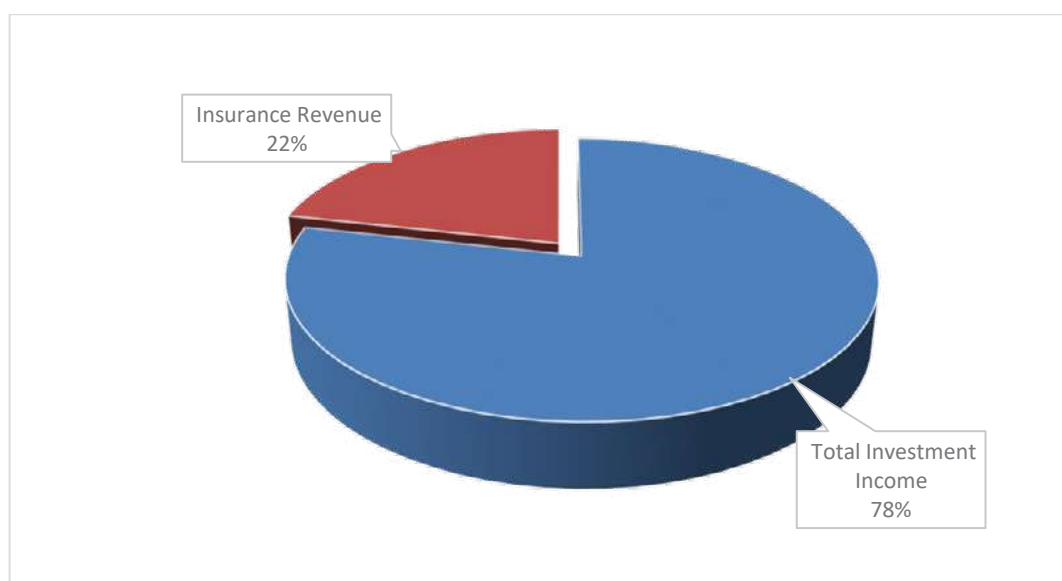
Table 8: Expense Ratios

Company	Expenses	Claims	Combined
CBZ Life	111%	20%	132%
Econet Life	40%	58%	98%
ZB Life	78%	15%	93%
Nyaradzo Life	16%	58%	74%
Evolution Life	40%	29%	70%
First Mutual Life	30%	34%	64%
Fidelity Life	43%	7%	51%
Old Mutual Life	21%	24%	45%
Doves Life	12%	27%	40%
Zimnat Life	10%	21%	31%
Nhaka Life	0%	26%	26%
Heritage Life	0%	7%	7%
Total	25%	40%	65%

15.6. As indicated above CBZ Life and Econet Life recorded combined ratios of 132% and 98%, respectively.

15.7. The Commission has since engaged the two entities to appreciate the source of losses being incurred as well as the interventions being made to achieve sustainable results going forward.

15.8. The figure below shows the distribution of source of revenue for the sector.

Figure 6: Composition of Income for Life Companies

15.9. As shown above, 78% of the revenue is coming from investment income whilst only 22% as insurance revenue.

15.10. Much of the revenue is not coming from the core activity of insurance, which is underwriting of insurance business.

16. Capitalisation

16.1. As at June 2024, 10 life companies were compliant with the US\$ linked MCR of US\$2 million while the remaining two were not compliant. As such, the entities failing to meet the required minimum have been engaged, with a view of them putting plans in place to comply once the enabling regulation come into effect.

16.2. The Commission is also in the process of reviewing the ZICARP submissions that have been done to date and players who have not yet submitted are required to do so as the submissions were due of the 30th of June 2024.

16.3. The development of a solvency Stress Testing Framework is progressing well and will be utilised to conduct stress tests on the balance sheets of all life insurance companies to evaluate how each company's financial position will react to potential shocks impacting their operations.



Section E

Performance of Life Reassurance Companies

17. Nature of the Reassurance Business

Life reinsurers are permitted to write both life and non-life business. However, the statistics in this section exclusively reflect their life assurance business, with the exception of their capital positions, which include both life and non-life positions.

18. Performance in terms of Reassurance Revenue

- 18.1. For the half-year ended 30 June 2024, life reinsurers reported insurance revenue amounting to ZWG48.11 million, which is approximately US\$3.57 million when converted using the average the interbank rate for period under review.
- 18.2. The major driver of reassurance business was group life assurance, which constituted 65% of the total revenue for the reinsurers.
- 18.3. The life reassurance companies reported a positive insurance service result of ZWG22.12 million which is approximately US\$1.64 million.

19. US\$ Business Revenue for Reinsurers

- 19.1. Life reassurance companies reported foreign currency business amounting to US\$3.12 million for the period ended 30 June 2024.
- 19.2. The sector reported insurance service result of US\$1.36 million, which signifies underwriting profit for the period under review.
- 19.3. The profit-before-tax reported for the period under review was US\$1.08 million.

20. Asset Quality

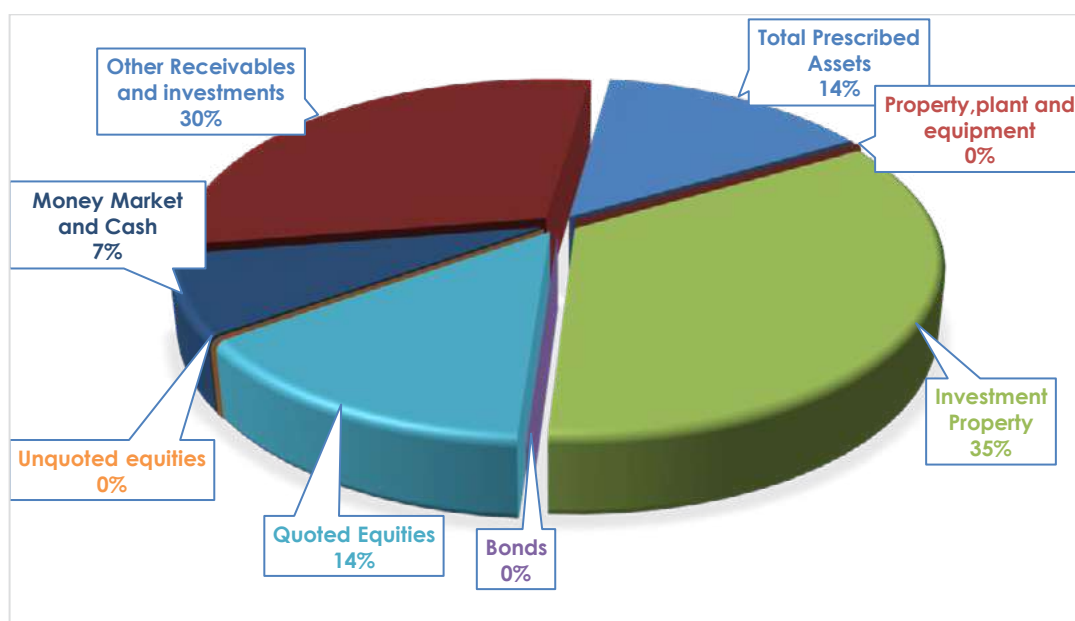
- 20.1. Life reinsurers reported assets amounting to ZWG125.38 million, equivalent to US\$9.15 million, signifying growth of 114% from US\$

important to note that ZEP Re started reporting its business during the 2nd quarter of 2024 since the inception of IFRS17 and Emeritus Re recorded a significant revaluation gain.

20.2. The increase in assets was mainly driven by fair value gains from investment property and quoted equities.

20.3. Figure 9 below shows the spread of assets for the life reassurers: -

Figure 7: Figure 9 Life Reassurers' Total Assets



20.4. Of the total assets reported by reassurers, investment property was the major asset class constituting 35% of the sector's assets followed by other receivables constituting 30%. Prescribed assets and quoted equities each constituted 14% of total assets. Money market and cash constituted 7%.

21. Prescribed Assets

21.1. Total investments in prescribed assets by the life reinsurance sector amounted to ZWG17.94 million, which is approximately US\$1.31 million. This translates to an average compliance level of 14.31% across for sector, which was just below the minimum prescribed asset threshold of 15%.

21.2.FBC Re and ZEP-Re were compliant with the required minimum prescribed asset threshold.

21.3.The table below is a summary of compliance ratios for each entity.

Table 9: Prescribed Assets Ratios for Reassurance Companies

Name of Company	Prescribed Asset Ratio
FBC Reinsurance	58.06%
ZEP Reinsurance	28.39%
First Mutual Reinsurance	1.40%
Emeritus Reinsurance	0.93%
Average	14.31%

21.4. Investment in prescribed assets remain a national priority and reassurers are urged to invest in projects of developmental nature, which can be accorded prescribed asset status and meet the compliance levels.

21.5.FBC Re has invested most of its assets in treasury bills from the government, which has seen its prescribed asset ratio reaching as high as 58%.

22. Earnings

22.1.The profit-after-tax reported for the period under review was ZWG71.20 million, equivalent to US\$5.28, which was mainly generated from investment income. As reported under direct life assurers, most of the income for reassurers was also from investments other than the core business of insurance.

22.2.Reassurers are not getting much business from the life assurers, resulting in them generating more revenue from non-insurance activities.

22.3.Reassurers reported a claims ratio of 19% whilst the expense ratio was 31% for the period under review which resulted in a combined ratio of 50%.

23. Market Share

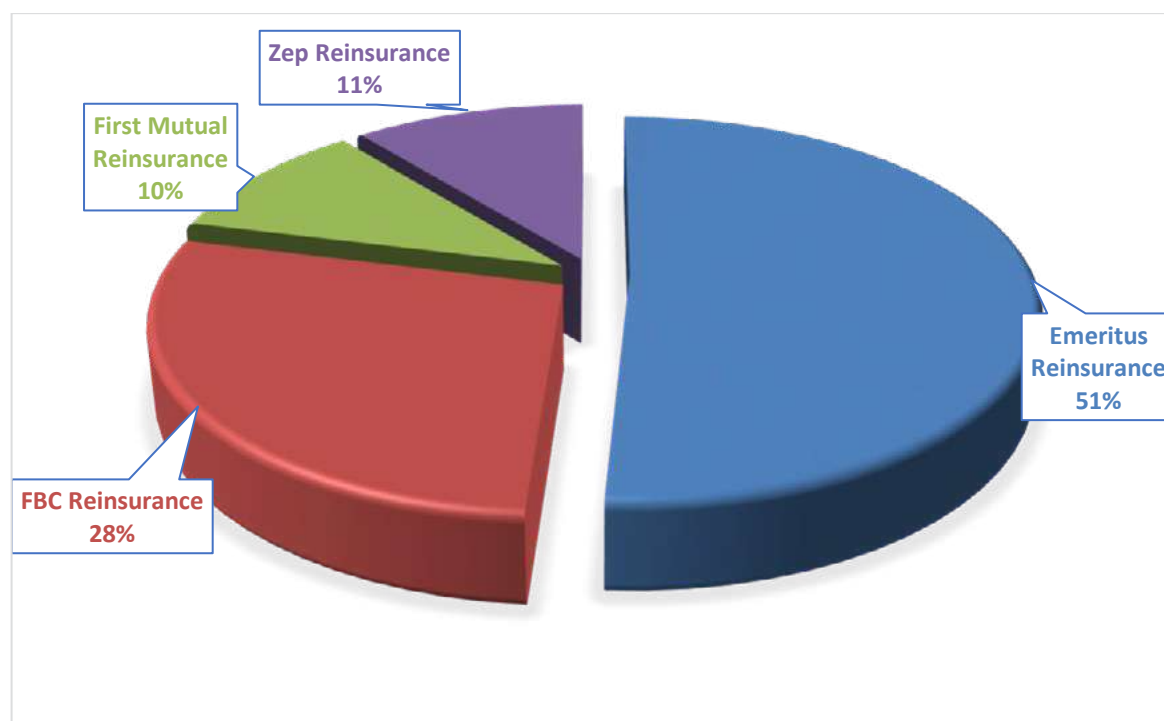
Market Share by Reassurance Revenue

23.1. In terms of market share by revenue, Emeritus Re had the biggest market share of 51% followed by FBC Re and ZEP Re with 28% and 11%, respectively and lastly First Mutual with only 10%.

23.2. All reinsurers recorded a positive insurance result for the half year ended 30 June 2024.

23.3. The breakdown of the market share of the reinsurance sector in terms of reinsurance revenue is shown in the figure below: -

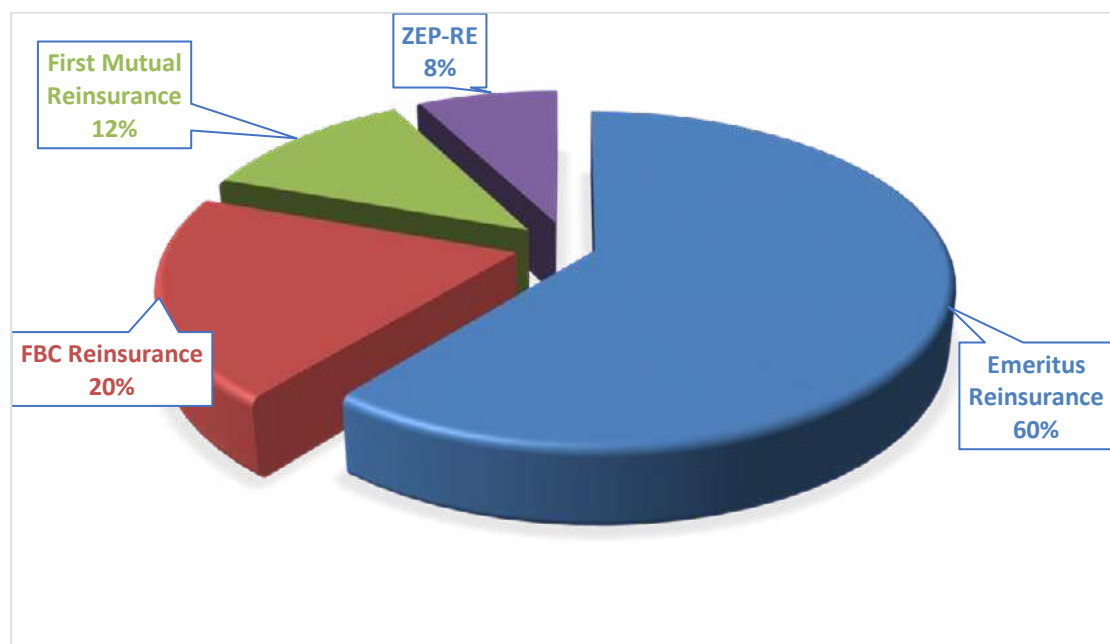
Figure 8: Market Share by Reassurance Revenue



Market Share in Terms of Total Assets

23.4. In terms of market share by assets, Emeritus Re had the biggest share of assets (60%) in the reinsurance sector, followed by FBC Re with 20% while the remaining 20% is divided between First Mutual Re and ZEP Re, accounting for 12% and 8% respectively.

23.5. The breakdown of market share by value of assets is shown in figure 12 below:

Figure 9: Market Share Distribution in Terms of Total Assets

24. Capitalisation

24.1. Emeritus Re is the only reinsurance company compliant with the yet to be gazetted capital requirement of US\$2 million.

24.2. Other 3 reassurers are undercapitalised if assessed using the proposed minimum capital requirement and are expected to come up with the compliance roadmaps to ensure that they are compliant as and when the enabling regulations are in place.

24.3. Going forward, solvency assessment will be based on ZICARP, which a risk-based capital regime. Below is a table showing the current and prospective capitalisation levels for the reinsurance companies.

Table 10: Capitalisation of Reinsurance Companies

Name of Company	Capital - ZWG Million	
	June-24	US\$2 Million June-24
Emeritus Reinsurance	63.97	4.67
FBC Reinsurance	23.29	1.70
First Mutual Reinsurance	15.36	1.12
ZEP Reinsurance	5.31	0.39



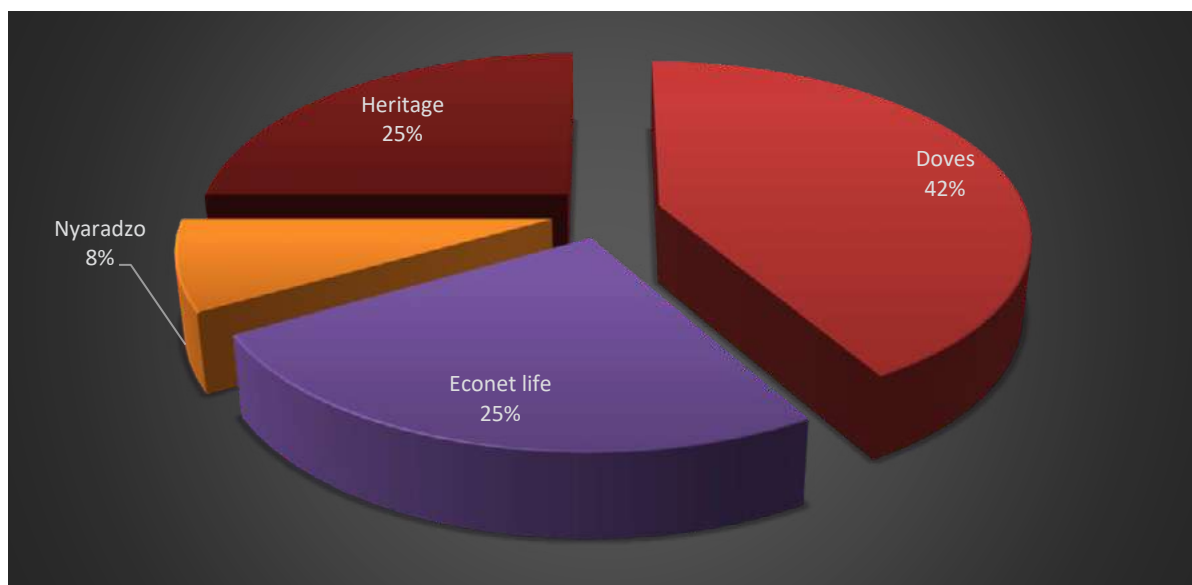
REGULATIONS

Section F | Complaints Handling and Penalties for Regulatory Breaches

25. COMPLAINTS HANDLING AND PENALTIES FOR REGULATORY BREACHES

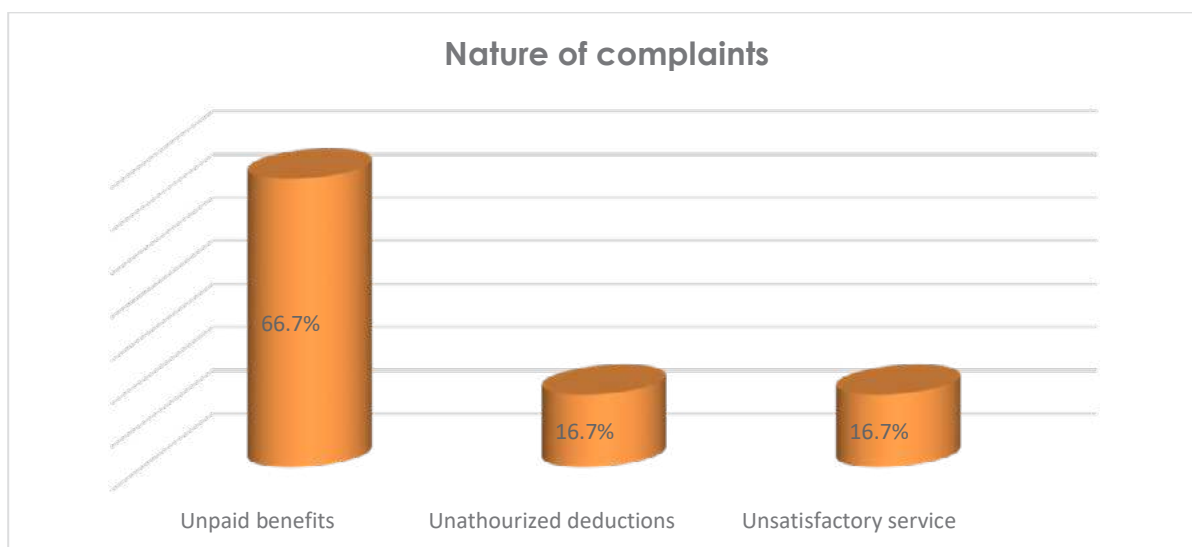
25.1. During the review period, 12 complaints were received for 4 life companies. Of these, 2 complaints were received in April, 4 in May, and 6 in June.

Figure 10: Distribution of Life Complaints by Entity



25.2. In Figure 10 above, Doves received the highest number of complaints, making up 42%. This was followed by Heritage and Econet Life, each constituting 25%. Lastly, Nyaradzo Life accounted for 8% of the complaints.

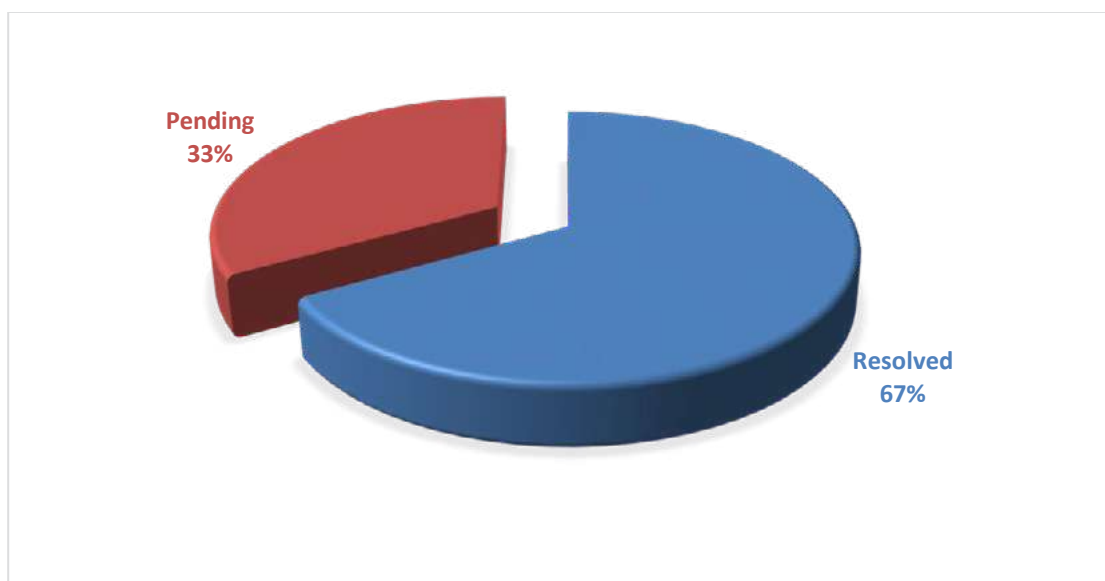
Figure 11: Nature of the Complaints Received



25.3. The diagram above shows that unpaid funeral benefit complaints commanded 66.7% of the total. This was followed by unauthorised premium deductions and unsatisfactory funeral services, each constituting 16.7%.

25.4. Figure below shows resolved and pending complaints.

Figure 12: Complaints Status



25.5. In the second quarter of 2024, the Commission received 12 complaints, down from 16 in the previous quarter. Of these, 8 complaints were successfully resolved, while the remaining 4 are still awaiting a response from Heritage Life.

25.6. Further analysis of the received complaints revealed that there is lack of communication with policyholders which is resulting to unauthorised deductions of premiums.

25.7. Policyholders are encouraged to inform their employers and banks to stop deductions once their policies are fully paid, to prevent deductions beyond the term limits.

25.8. Life assurers are encouraged to maintain quality control measures in their service provision, ensure proper oversight, and practice

transparency and ethics, all of which should lead to satisfactory service delivery.

26. Regulatory Breaches

- 26.1. During the first half of 2024, no life company was penalised for regulatory breaches. Adhering to regulatory requirements is crucial, and the industry must consistently comply with all statutes.
- 26.2. In addition, industry players are reminded that non-submissions, partial and late submissions of quarterly returns and audited financial statements in terms of Section 30 of the Insurance Act [Chapter 24:07] and section 5 of the Insurance and Pensions (Issuance of General Guidelines and Standards) Regulations, S.I. 69 of 2020, will result in regulatory sanctions being levied on the non-compliant entities.

27. Conclusion

The life insurance sector has shown resilience and stability despite operational challenges, particularly foreign exchange issues. The Commission urges further efforts in enhancing products and introducing innovative solutions that meet customer needs to unlock the potential of the long-term savings sector. The Commission reaffirms its commitment to working with industry stakeholders and the government to promote an inclusive, secure, sustainable, and thriving insurance market.

The sector should also adopt sustainability reporting and integrate ESG factors into their operations as responsible and forward-thinking corporate citizens. Keeping pace with modern technology by leveraging artificial intelligence tools, such as chatbots for business marketing, query resolution, claims processing, and underwriting, is crucial. Additionally, ensuring adequate cyber risk protection is essential, especially with the increased use of ICT technology.



Section H | APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE HALF-YEAR ENDED 30 JUNE 2024 - ZWG Million.

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total										
Insurance Revenue	38.38	129.72	47.50	1.56	49.51	76.95	0.76	2.88	348.06	65.49	20.23	69.68	850.72										
Revenue from contracts measured under the PAA	7.23	-	47.21	1.56	14.44	76.26	0.76	2.88	-	65.49	19.94	69.68	305.46										
Revenue from contracts measured under the GMM	31.16	129.72	0.29	-	35.01	-	-	-	348.06	-	0.11	-	544.35										
Expected incurred claims	-	100.80	-	-	12.90	-	-	-	101.83	-	0.06	-	215.59										
Change in risk adjustment for non financial risk	31.16	12.72	-	-	0.11	-	-	-	16.49	-	0.02	-	60.49										
CSM recognised in P&L for the services provided	-	15.67	0.29	-	21.51	-	-	-	207.38	-	0.03	-	244.88										
Insurance acquisition cashflows recovery	-	0.53	-	-	0.49	-	-	-	22.36	-	0.01	-	23.39										
Revenue from contracts measured under the VFA	0.00	-	-	-	0.06	0.69	-	-	-	-	0.18	-	0.92										
Expected incurred claims	0.00	-	-	-	-	0.22	-	-	-	-	0.03	-	0.25										
Change in risk adjustment for non financial risk	-	-	-	-	-	0.01	-	-	-	-	0.01	-	0.02										
CSM recognised in P&L for the services provided	0.00	-	-	-	0.06	0.46	-	-	-	-	0.12	-	0.64										
Insurance acquisition cashflows recovery	-	-	-	-	-	-	-	-	-	-	0.01	-	0.01										
Insurance service expenses from insurance contracts issued:	50.49	51.34	46.46	1.08	25.13	49.01	0.05	0.76	257.36	29.66	18.78	21.62	551.74										
Incurred claims	-	7.74	-	35.66	-	26.06	-	0.05	-	0.76	-	201.71	-	15.62	-	2.03	-	14.86	-	323.67			
Insurance contract expenses	-	35.27	-	15.26	-	0.59	-	13.17	-	18.09	-	-	-	14.04	-	10.02	-	6.76	-	113.21			
Insurance contract acquisition cashflows	-	7.47	-	0.42	-	18.93	-	0.04	-	8.26	-	4.93	-	-	-	1.50	-	-	-	63.90			
Adjustments to liabilities for incurred claims	-	-	-	1.46	-	-	-	10.96	-	-	-	-	-	1.00	-	-	-	-	-	13.42			
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	0.01	-	-	-	-	-	-	-	33.28	-	-	4.24	-	-	-	-	37.53			
Insurance service result before reinsurance	-	12.11	78.38	1.05	0.47	24.38	27.94	0.71	2.12	90.70	35.84	1.45	48.07	298.99									
Allocation of reinsurance premiums (net of reinsurance commission)	-	1.61	-	-	3.24	-	0.24	-	0.29	-	1.79	-	-	0.03	-	-	4.59	-	0.95	-	6.99	-	19.74
Amounts recoverable from reinsurers for incurred claims	-	-	-	-	-	-	0.15	-	-	-	0.80	-	-	0.18	1.13								
Net income / (expense) from reinsurance contracts held	-	1.61	-	-	3.24	-	0.24	-	0.29	-	1.65	-	-	0.03	-	-	3.80	-	0.95	-	6.81	-	18.61
Insurance service result	-	13.72	78.38	-	2.20	0.24	24.09	26.29	0.71	2.09	90.70	32.04	0.50	41.26	280.37								
Interest received	-	0.49	0.69	1.10	-	0.62	4.71	-	-	2.66	2.43	1.42	0.67	14.80									
Quoted equities - fair value adjustments	-	-	-	45.10	-	38.59	6.10	0.30	-	24.86	114.34	14.18	10.91	254.37									
Unquoted equities - fair value adjustments	-	-	-	8.27	-	-	-	-	0.17	3.45	1,175.12	67.83	-	1,254.83									
NAV movements in group companies	-	-	-	-	-	-	661.74	-	-	-	-	-	-	661.74									
Dividend income	-	-	-	1.29	-	0.01	4.31	-	0.01	5.14	48.06	0.95	4.93	64.69									
Rental income	-	-	0.46	0.19	-	0.48	-	-	-	0.29	6.14	0.79	-	8.36									
Net foreign exchange income / (expense)	-	-	-	-	-	5.66	-	13.68	-	52.62	-	99.73	34.78	0.78	63.34								
Other Income	-	-	0.17	1.92	-	303.75	4.77	0.01	37.72	70.56	326.74	33.75	1.20	780.60									
Total Investment Income	-	0.49	1.33	57.86	-	337.79	667.95	0.31	14.72	106.96	1,772.57	153.71	18.49	3,102.73									
Insurance finance income (expenses) for insurance contracts issued	-	0.96	-	3.63	-	0.01	-	4.35	-	437.02	-	0.00	-	1.20	28.59	-	-	-	90.26	-	-	566.03	
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Net insurance financial result	-	0.96	-	3.63	-	0.01	-	4.35	-	437.02	-	0.00	-	1.20	28.59	-	-	-	90.26	-	-	566.03	
Net investment result	-	0.47	-	2.30	-	57.85	-	333.43	-	230.93	0.31	-	15.92	78.37	1,772.57	63.45	18.49	-	-	-	2,536.70		
Administrative Expenses(indirectly linked to insurance service provision)	-	1.34	-	41.91	-	6.01	-	0.38	-	0.08	-	29.62	-	0.14	8.50	-	137.17	-	4.37	-	45.35	-	257.87
Fair value adjustments (negative)	-	-	-	-	-	-	-	-	-	29.88	-	-	-	-	-	-	-	-	-	1.91	-	27.97	
Other Expenses	-	-	-	17.10	-	-	292.54	-	41.79	-	0.30	-	-	-	20.71	-	-	-	0.07	-	296.89		
Total for other Expenditure	-	1.34	-	41.91	-	11.09	-	0.38	-	292.62	-	71.41	-	0.44	38.38	-	137.17	-	20.71	-	4.37	-	526.79
Profit (Loss) before tax	-	15.53	34.17	66.74	-	0.14	64.90	185.81	0.58	24.55	31.90	1,825.32	59.58	12.41	2,290.28								
Taxation	-	0.10	-	-	-	-	0.06	0.00	-	0.07	-	-	-	-	0.23								
Profit (Loss) after tax	-	15.64	34.17	66.74	-	0.14	64.84	185.81	0.51	24.55	31.90	1,825.32	59.58	12.41	2,290.05								
Other Comprehensive Income for the year	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-								
Total Comprehensive Profit/(Loss) Attributable to Shareholders	-	15.64	34.17	66.74	-	0.14	64.84	185.81	0.51	24.55	31.90	1,825.32	59.58	12.41	2,290.05								

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 JUNE 2024 - ZWG Million

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Assets													
Non-Current Assets													
Intangible Assets	-	-	-	-	0.07	-	-	0.68	-	-	0.27	0.16	1.18
Property, Plant and Equipment	14.72	27.55	4.69	0.00	1.60	3.22	0.00	1.79	987.94	31.90	0.71	7.28	1,081.41
Investment Property	63.04	157.74	3.24	5.29	159.20	-	70.05	35.73	43.01	419.40	42.72	-	999.42
Investments: Quoted equities	23.91	6.69	54.59	0.14	74.66	211.83	0.30	0.25	9.79	1,309.09	19.96	20.76	1,731.98
Unquoted equities	11.03	8.03	11.29	8.81	265.63	71.95	-	-	-	189.46	83.15	108.48	757.84
Bonds	-	0.22	-	-	0.71	11.27	-	-	-	18.76	42.08	0.43	73.47
Deferred tax asset	-	-	-	0.00	-	-	-	0.33	-	-	-	-	0.33
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-	-	-	-	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Reinsurance Contract Held Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	-	-	10.48	-	-	1,055.98	-	51.67	-	-	315.22	29.19	1,462.53
Total Non Current Assets	112.70	200.22	84.29	14.25	501.88	1,354.25	70.35	90.46	1,040.75	1,968.62	504.11	166.31	6,108.17
Current Assets													
Insurance Contract Assets	2.96	0.57	3.22	-	2.06	0.41	-	-	-	-	-	-	9.21
Reinsurance Contract Held Assets	0.60	-	0.15	-	-	-	-	-	-	-	-	-	0.75
Money market investments	11.84	-	4.72	-	-	28.77	-	-	11.47	29.08	1.77	5.13	92.78
Other Short Term Investments	-	-	-	0.00	-	-	0.00	-	95.71	-	-	0.58	96.29
Other receivables	4.10	10.18	0.77	-	2.30	0.76	0.32	2.48	113.48	189.14	4.31	36.22	364.06
Cash and Bank Balances	7.10	3.75	8.47	0.05	0.92	11.45	0.08	0.04	49.14	39.82	4.31	15.23	140.38
Other Current Assets	-	12.06	5.75	0.01	1.57	0.02	0.04	-	85.90	5.23	0.10	-	110.69
Total Current Assets	26.60	26.56	23.09	0.06	6.85	41.41	0.45	2.52	355.71	263.27	10.49	57.15	814.15
Total Assets	139.30	226.78	107.38	14.31	508.73	1,395.65	70.80	92.98	1,396.46	2,231.89	514.60	223.46	6922.32

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 JUNE 2024 - ZWG Million

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Liabilities and Equity													
Current Liabilities													
Insurance Contract Liabilities:	36.20	-	6.22	-	-	0.58	-	1.82	-	-	58.11	-	102.92
Best Estimate Liability (BEL)	10.86	-	6.20	-	-	-	-	1.82	-	-	58.11	-	76.99
Risk Adjustment (RA)	3.62	-	0.01	-	-	0.05	-	-	-	-	-	-	3.69
Contractual Service Margin (CSM)	21.72	-	-	-	-	0.53	-	-	-	-	-	-	22.25
Reinsurance Contract Held Liabilities:	-	-	0.57	-	-	0.01	-	-	-	-	-	-	0.56
Best Estimate Liability (BEL)	-	-	0.57	-	-	0.00	-	-	-	-	-	-	0.56
Risk Adjustment (RA)	-	-	-	-	-	0.00	-	-	-	-	-	-	0.00
Contractual Service Margin (CSM)	-	-	-	-	-	0.00	-	-	-	-	-	-	0.00
Related party payables	-	-	3.99	-	-	8.60	-	-	-	-	3.74	4.76	21.09
Current provisions	-	-	3.62	-	-	-	-	0.22	-	-	2.53	-	6.37
Finance lease obligations	-	-	-	-	-	12.83	-	5.11	-	-	0.64	7.53	24.83
Bank overdrafts	-	-	-	-	-	-	0.00	-	-	-	-	-	0.00
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-	-
Other payables	-	3.79	1.43	-	-	96.54	0.00	6.33	-	-	10.05	42.73	160.86
Total Current Liabilities	36.20	3.79	15.83	-	-	118.54	0.00	13.48	-	-	73.79	55.01	316.64
Non-current liabilities													
Insurance Contract Liabilities:	-	18.27	-	0.09	123.33	644.37	-	0.45	694.46	200.00	60.20	18.94	1,760.11
Best Estimate Liability (BEL)	-	18.27	-	0.08	212.76	604.30	-	0.45	1,682.36	197.12	58.11	18.94	2,366.86
Risk Adjustment (RA)	-	-	-	0.01	4.79	1.79	-	-	71.79	2.88	0.24	-	81.49
Contractual Service Margin (CSM)	-	-	-	-	331.30	38.29	-	-	1,059.68	-	1.85	-	688.23
Reinsurance Contract Held Liabilities:	-	-	-	-	-	0.10	-	-	-	0.47	-	1.38	1.02
Best Estimate Liability (BEL)	-	-	-	-	-	0.01	-	-	-	0.46	-	1.38	0.93
Risk Adjustment (RA)	-	-	-	-	-	0.09	-	-	-	0.01	-	-	0.08
Contractual Service Margin (CSM)	-	-	-	-	-	-	-	-	-	-	-	-	-
Long Term Loans	-	0.93	-	-	-	-	-	0.27	-	-	-	1.51	2.70
Provision for investment contract liabilities	24.28	-	0.70	-	279.28	119.31	0.17	53.46	-	-	270.75	-	747.95
Deferred Tax liability	-	0.15	-	-	0.00	1.61	-	-	5.03	-	7.96	3.55	18.29
Other Liabilities	8.07	5.85	8.70	-	28.84	132.62	0.07	2.17	-	-	-	-	186.33
Total Non - Current Liabilities	32.35	25.19	9.40	0.09	431.45	898.01	0.24	56.35	699.49	199.53	338.91	25.37	2,716.39
Total Liabilities	68.55	28.98	25.23	0.09	431.45	1,016.55	0.24	69.84	699.49	199.53	412.70	80.38	3,033.03
Share Capital and Reserves													
Share Capital	0.00	1.00	0.00	0.00	0.00	0.00	1.68	0.00	0.00	0.00	0.00	0.00	2.68
Share Premium	18.88	-	0.00	0.00	0.00	1.50	-	0.01	-	0.01	0.00	0.00	20.42
Insurance finance reserve	-	-	-	-	-	-	-	-	-	-	-	-	-
Investment Reserve	-	-	-	-	-	-	-	-	-	-	0.00	-	0.00
Revaluation Reserve	12.33	3.70	3.80	0.03	0.25	-	-	-	730.68	0.01	1.06	0.00	751.86
Non Distributable Reserve	2.83	-	-	0.02	-	-	68.40	-	0.00	0.01	0.01	0.03	71.29
Retained Earnings Prior Years	52.34	158.93	11.60	14.32	7.53	522.11	0.03	1.42	105.69	207.02	41.24	130.63	1,038.56
Retained Earnings - Current Period	15.64	34.17	66.74	0.14	64.84	185.82	0.51	24.55	31.90	1,825.32	59.58	12.41	2,290.06
Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	-	-	-	-	4.66	330.33	-	-	40.07	-	-	-	285.60
Shareholders' Equity	70.74	197.80	82.15	14.22	77.28	379.09	70.56	23.14	696.96	2,032.36	101.90	143.08	3,889.28
Total Equity and Liabilities	139.30	226.78	107.38	14.31	508.73	1,395.65	70.80	92.98	1,396.46	2,231.89	514.60	223.46	6,922.31

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE HALF-YEAR ENDED 30 JUNE 2024 - ZWG Million.

	FBC RE	Emeritus Re	First Mutual RE	ZEP RE	Total
Insurance Revenue	13.40	24.56	4.93	5.22	48.11
Revenue from contracts measured under the PAA	13.40	24.56	4.93	5.22	48.11
Revenue from contracts measured under the GMM	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Revenue from contracts measured under the VFA	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Insurance service expenses from insurance contracts issued:	- 3.05	- 16.53	- 1.06	- 3.61	- 24.25
Incurred claims	- 0.35	- 5.52	- 0.01	- 3.46	- 9.34
Insurance contract expenses	-	- 3.80	- 0.10	-	- 3.90
Insurance contract acquisition cashflows	- 2.69	- 4.94	- 0.96	-	- 8.59
Adjustments to liabilities for incurred claims	-	- 2.27	-	- 0.15	- 2.42
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	-	-
Insurance service result before reinsurance	10.35	8.03	3.87	1.61	23.86
Allocation of reinsurance premiums (net of reinsurance commission)	- 1.32	- 1.40	- 0.04	- 0.01	- 2.77
Amounts recoverable from reinsurers for incurred claims	0.03	-	0.01	0.99	1.03
Net income / (expense) from reinsurance contracts held	- 1.28	- 1.40	- 0.03	0.97	- 1.74
Insurance service result	9.07	6.63	3.84	2.59	22.12
Interest received	-	0.01	0.05	0.10	0.16
Quoted equities - fair value adjustments	1.19	20.14	- 4.13	-	17.20
Unquoted equities - fair value adjustments	-	-	-	-	-
NAV movements in group companies	-	-	-	-	-
Dividend income	0.04	-	0.06	-	0.10
Rental income	-	1.34	-	-	1.34
Net foreign exchange income / (expense)	2.20	0.19	- 0.56	-	1.83
Other Income	-	33.92	-	-	33.92
Total Investment Income	3.43	55.61	- 4.59	0.10	54.55
Insurance finance income (expenses) for insurance contracts issued	-	-	-	- 0.13	- 0.13
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	0.03	0.03
Net insurance financial result	-	-	-	0.10	0.10
Net investment result	3.43	55.61	- 4.59	0.00	54.45
Administrative Expenses(indirectly linked to insurance service provision)	- 2.98	- 2.40	- 0.16	- 0.11	- 5.65
Fair value adjustments (negative)	-	-	-	-	-
Other Expenses	-	0.28	-	-	0.28
Total for other Expenditure	- 2.98	- 2.12	- 0.16	- 0.11	- 5.37
Profit (Loss) before tax	9.52	60.12	- 0.91	2.47	71.20
Taxation	-	0.00	-	-	0.00
Profit (Loss) after tax	9.52	60.12	- 0.91	2.47	71.20
Other Comprehensive Income for the year	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	9.52	60.12	- 0.91	2.47	71.20

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 30 JUNE 2024 - ZWG Million

	FBC RE	EMERITUS RE	FIRST MUTUAL RE	ZEP RE	TOTAL
Assets					
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property, Plant and Equipment	-	0.00	0.00	-	0.01
Investment Property	-	43.31	-	-	43.31
Investments: Quoted equities	8.31	0.24	9.23	-	17.77
Unquoted equities	-	-	-	-	-
Bonds	-	-	0.04	-	0.04
Deferred tax asset	-	-	-	-	-
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-
Reinsurance Contract Held Assets	-	0.33	-	-	0.33
Other Non-Current Assets	-	0.48	-	-	0.48
Total Non Current Assets	8.31	44.36	9.27	-	61.94
Current Assets					
Insurance Contract Assets	-	-	0.99	-	0.99
Reinsurance Contract Held Assets	-	-	0.02	1.53	1.55
Money market investments	14.30	1.38	4.30	2.72	22.69
Other Short Term Investments	-	22.18	-	-	22.18
Other receivables	-	-	0.02	5.33	5.35
Cash and Bank Balances	2.02	1.27	0.28	-	3.57
Other Current Assets	-	7.11	-	-	7.11
Total Current Assets	16.32	31.94	5.60	9.58	63.44
Total Assets	24.63	76.30	14.87	9.58	125.38

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 30 JUNE 2024 - ZWG Million

	FBC RE	EMERITUS RE	FIRST MUTUAL RE	ZEP RE	TOTAL
Liabilities and Equity					
Current Liabilities					
Insurance Contract Liabilities:	0.06	-	1.04	-	1.10
Best Estimate Liability (BEL)	0.06	-	1.04	-	1.10
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	0.05	4.27	4.32
Best Estimate Liability (BEL)	-	-	0.05	3.62	3.67
Risk Adjustment (RA)	-	-	-	0.65	0.65
Contractual Service Margin (CSM)	-	-	-	-	-
Related party payables	-	0.03	-	-	1.57
Current provisions	-	0.17	-	-	0.17
Finance lease obligations	-	-	-	-	-
Bank Overdrafts	-	-	-	-	-
Payables Arising from Retrocession Arrangements	-	0.79	-	-	0.79
Other payables	4.95	7.59	0.02	-	12.55
Total Current Liabilities	5.00	8.58	- 0.49	4.27	17.36
Non-current liabilities					
Insurance Contract Liabilities:	-	3.75	-	-	3.75
Best Estimate Liability (BEL)	-	3.75	-	-	3.75
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Long Term Loans	-	-	-	-	-
Provision for investment contract liabilities	-	-	-	-	-
Deferred Tax liability	-	-	-	-	-
Other Liabilities	1.28	-	-	-	1.28
Total Non - Current Liabilities	1.28	3.75	-	-	5.03
Total Liabilities	6.28	12.33	- 0.49	4.27	22.39
Share Capital and Reserves					
Share Capital	-	0.00	0.00	-	0.00
Share Premium	-	0.00	3.72	-	3.72
Insurance finance reserve	-	-	-	-	-
Investment Reserve	-	-	-	-	-
Revaluation Reserve	-	-	-	0.05	0.05
Non Distributable Reserve	-	-	-	-	-
Retained Earnings Prior Years	8.83	3.85	12.57	2.78	28.02
Retained Earnings - Current Period	9.52	60.12	- 0.91	2.47	71.20
Minority Interest	-	-	-	-	-
Other	-	-	- 0.01	-	0.01
Shareholders' Equity	18.35	63.97	15.37	5.31	102.99
Total Equity and Liabilities	24.63	76.30	14.87	9.58	125.38



Life Assurance Sector Report

For The Half-Year Ended 30 June 2024

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